

and at least five times more than comparable compact fluorescent lamps. "For example, a 13-watt LED tube which gives as much light as a conventional 40-watt tube sells between Rs 1300 and Rs 1500 against Rs 50 paid for the latter, which we expect to sell for Rs 200 to Rs 250 in less than three years from now," said Goswami.

## Cabinet approves national policy on electronics

After a long wait by the electronics industry, the Union Cabinet of India finally approved the National Policy on Electronics 2012 on October 25, living up to the hope of the industry, which wants a conducive environment to manufacture more locally.

Under the policy, the government has set an ambitious target to achieve a turnover of \$400 billion by 2020 involving investment of about \$100 billion; create employment for 28 million people; increase export in the electronics system design and manufacturing (ESDM) sector from \$5.5 billion to \$80 billion by 2020; and enhance the availability of skilled manpower in the ESDM sector. It will soon bring in a Modified Special Incentive Package Scheme (M-SIPS) to eliminate the disability costs in manufacturing on account of infrastructure gaps relating to power, transportation, etc, and to mitigate the relatively high cost of finance, etc. Union government will also provide incentives for setting up over 200 electronic manufacturing units, and establish a stable tax regime to attract global investments.

## M-SIPS guidelines announced

After the Cabinet approval of M-SIPS in July this year, the DeitY has come up with detailed guidelines on this scheme. Under M-SIPS, the government has lowered the investment threshold in order to attract investments in India's electronics manufacturing sector.

Benefits under M-SIPS can be obtained if investments are made



*A view of a solar power plant*

in new units in the ESDM sector or the existing units are expanded, modernised and diversified. To qualify as an expansion of capacity, modernisation and diversification of an existing unit, there must be an increase in fixed capital investments in plant and machinery by not less than 25 per cent. New or existing units should be engaged in design and manufacturing of electronics and nano-electronics products and their accessories. Even electronics manufacturing services (EMS) providers, which provide services related to manufacture of sub-assemblies and parts including integration services to OEMs, can obtain incentives under M-SIPS. The scheme also provides incentives for relocation of units from abroad.

## National Policy on IT to be out by December

The Department of Electronics and Information Technology (DeitY) will come out with a defined timeline and cost estimates for achieving various objectives of National Policy on Information Technology (NPIT) 2012 by December.

The major objectives of the policy include increasing revenue of IT and IT-enabled services industry from \$100 billion to \$300 billion by 2020 and expanding exports from \$69 billion to

\$200 billion by 2020.

Under NPIT, the government aims to create a pool of 10 million additional skilled manpower in the information and communication technology (ICT) sector. It also aims to produce 3000 PhDs in the field of ICT every year by 2020.

## Punjab government to invite bids for solar power plants

In a meeting held recently, Punjab's deputy chief minister Sukhbir Singh Badal revealed that the state government was spending a huge amount on providing free power for solar agri-pumps in the state. Badal said there was a large scope for development of solar power clusters in rural areas to provide power for agri-pumps.

Badal mentioned that by producing 1000 MW clean power, Punjab can earn a lot of carbon credits besides saving on subsidy. Punjab Energy Development Agency (PEDA) is considering creating land pools in Kandi as well as Kalanaur areas of Gurdaspur district to attract investment for setting up big solar power plants. It would soon invite bids for 400MW solar power plants with provision for new entrants as well as big investors. The process for identifying the canals and rooftops for setting up the solar panels has already begun.